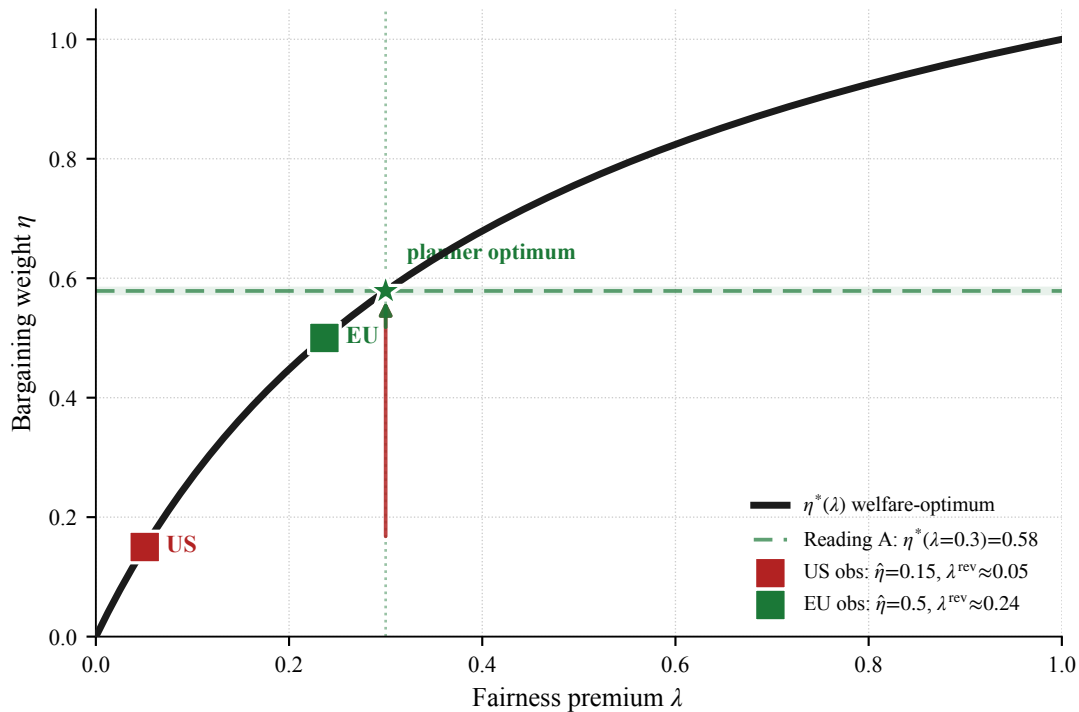


Q7: under common $\lambda=0.30$ (Reading A) US is heavily under-unionised; under country-specific λ (Reading B) each is at-optimum on $\eta^*(\lambda)$

(a) Reading A vs B on the $\eta^*(\lambda)$ locus



(b) Welfare under common $\lambda=0.3$ (Reading A)

